BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
BENCH AT ALLAHABAD
COMPANY APPLICATION NO. 440/ALD/2019

(Under Section 230-232 and other applicable provisions of the Companies Act, 2013)

In the matter of the Companies Act, 2013

In the matter of Scheme of Arrangement between

M/s A.B Auto Works Private Limited.

(A private limited company, incorporated under the provisions of the Companies Act, 1956 having its registered office at Plot No. C/32 Foundry Nagar, Agra, Uttar Pradesh- 282007)

Applicant No.1/Demerged Company

AND

M/s DGS Auto Works Private Limited.

(A private limited company, incorporated under the provisions of the Companies Act, 1956 having its registered office at Plot No. C/32 Foundry Nagar, Agra, Uttar Pradesh- 282006)

Applicant No.2/Resulting Company No.1

M/s Ridya- Agrima Auto Services Private Limited.

(A private limited company, incorporated under the provisions of the Companies Act, 1956 having its registered office at F-3, Professor Coloy, Kamla Nagar, Agra, Uttar Pradesh)

Applicant No.3/Resulting Company No.2

ORDER DELIVERED ON 18.12.2019
CORAM : Justice(Retd) Rajesh Dayal Khare, Member(Judicial)

For the Applicant Companies:
Rakesh Ranjan Agarwal, Senior Adv. Alongwith Suyash Agarwal, Adv.

As Per: - Justice(Retd) Rajesh Dayal Khare, Member(Judicial)
ORDER

1. The instant joint application filed under Section 230-232 of the Companies Act, 2013 by the applicant companies namely: -

1. **A.B.AUTO WORKS PRIVATE LIMITED**
   [Applicant Company No. 1/ Demerged Company]

2. **DGS AUTO WORKS PRIVATE LIMITED**
   [Applicant Company No. 2/ Resulting Company No.1]

3.RIDYA- AGRIMA AUTO SERVICES PRIVATE LIMITED

[Applicant Company No.3/ Resulting Company No.2]

2. This is an application under Sections 230-232 of the Companies Act, 2013 praying for sanctioning of the Scheme of Arrangement amongst applicants i.e ***A.B Auto Works Private Limited ("Demerged Company"), DGS Auto Works Private Limited ("Resulting Company No.1") and Ridya- Agrima Auto Services Private Limited ("Resulting Company No.2")*** and their respective shareholders and creditors whereby and where under the part Business of the Demerged Company will demerged into the Resulting Companies.

3. By this scheme of Arrangement, with effect from the Appointed Date, the part business as mentioned in scheme of Demerged Company will be merged/amalgamated with Resulting Companies.

4. It is stated that the Demerged Company is a private limited company, incorporated under the provisions of the Indian Companies Act 1956 on 19.06.1985, having its registered office at Plot No C/32 Foundry Nagar, Agra, Uttar Pradesh-282007 and the Corporate Identification Number of the Applicant Company No.1/Demerged Company is U34201UP1985PTC007244.The Demerged Company is primarily engaged in the business to produce, manufacture, purchase, refine, prepare, import, export, sell, and generally to deal in tractors, auto and diesel parts including liners, pistons, pumps etc. ***(Copy of Memorandum and Article of Association is annexed as Annexure No.P-2)***

5. It is stated that the Applicant No.2/Resulting Company No.1 is a private limited listed company incorporated on 18.10.2018 under the

provisions of the Indian Companies Act, 2013, having its registered office at C/32, Foundry Nagar, Agra, Uttar Pradesh- 282006. The Corporate Identification Number of the Applicant Company No.2/ Resulting Company No.1 is U74999UP2018PTC109411. The Applicant Company No.2/ Resulting Company No.1 is engaged in the business to carry on the business of refining, repairing, maintaining, preparing, importing, exporting, selling and generally to deal in Auto and Diesel parts including liners, piston, pumps etc. ***(Copy of Memorandum and Article of Association is annexed as Annexure No. P-4)***

6. It is stated that the Applicant No.3/Resulting Company No.2 is a private limited listed company incorporated on 11.02.2019 under the provisions of the Indian Companies Act, 2013, having its registered office at F-3, Professor Colony, Kamla Nagar, Agra, Uttar Pradesh-282005.The Corporate Identification Number of the Applicant Company No.3/ Resulting Company No.2 is U50100UP2019PTC113495.The Applicant Company No.3/ Resulting Company No.2 is engaged in the business to carry on the business of purchase, refine, prepare, import, export, sell and generally to deal in Tractors, Tractors parts, Auto and Diesel parts including liners, pistons, pumps etc. ***(Copy of Memorandum and Article of Association is annexed as Annexure No. P-6)***

7. The Ld. Counsel for the Applicant Companies further submits that the rationale for the Scheme is that it would lead to:

(i) Allow each business to create a strong and distinctive platform which enable greater flexibility to pursue long-term objectives;

(ii) Enabling accelerated growth of the remaining business and allowing the de-merged business of A.B. Auto Works Private Limited to explore suitable strategies to fund its growth plans;

(iii) Offering the shareholders, a clear focused investment opportunity in the to produce, manufacture, purchase, refine, prepare, import, export, sell and generally to deal in Tractors, Auto and Diesel parts including liners, pistons, pumps etc. business and thereby unlocking value of their holding;

(iv) For synergetic effect and betterment of shareholders and other stakeholders.

8. It is further submitted that the Scheme of Arrangement has been approved by the Board of Directors of the Applicant Company No. 1/ Demerged Company, Applicant Company No. 2/ Resulting Company No.1 and Applicant Company No. 3/ Resulting Company No.2 in their respective Board meeting convened on 01.08.2019.

9. It is also submitted that Scheme of Arrangement does not involve any compromise with the creditors of any of the applicant companies in any manner whatsoever. As such, the Scheme of Arrangement does not in any manner adversely affect the interests of any of the creditors of the Applicant Companies. Due provisions have been made for payment of all their liabilities as and when the same fall due in the usual course. In this connection all applicant companies have filed their respective audited and unaudited financial statements.

10. It is stated that valuation of the applicant companies for the purpose of the scheme was undertaken by Nitin Khandelwal, Chartered Accountants specifying the consideration for the Scheme of Arrangement. As per the valuation report dated August 13, 2019, the share entitlement ratio of equity shares for the proposed demerger of the part Business of the Demerged Company into the Resulting Companies, as at the relevant date, shall be as follows:

"3(Three) fully paid up equity share of DGS Auto Works Pvt. Ltd. Shall be issued and allotted for every one fully paid up equity shares of AB Auto Works Pvt. Ltd. Thus, DGS Auto Works Pvt. Ltd shall issue its 7,12,575/-

(Seven Lac Twelve Thousand Five Hundred Seventy-Five only) fully paid up equity shares to the shareholder of AB Auto Works Pvt. Ltd. In the ratio of three is to one (3:1).

"4(Four) fully paid up Equity shares of Ridya-Agrima Auto Services Pvt. Ltd. Shall be issued and allotted for every one fully paid up equity share of A.B. Auto Works Pvt. Ltd. Thus, Ridya-Agrima Auto Services Pvt. Ltd shall issue its 9,50,100/- fully paid up equity shares to the shareholder of A.B Auto Works Pvt. Ltd. In the ratio of four is to one (4:1)"

11. It is also stated that no proceedings under Sections 210 - 229 of the Companies Act, 2013 are pending against Applicant Companies.

12. It is also stated that the Applicant Companies has duly complied with the accounting standards. Certificate to this effect from the auditors has been annexed as Annexure 12 to the application.

13. It is further submitted that Applicant Company No. 1/ Demerged Company has **(Six) 6** Equity Shareholders, **Nil** Secured Creditor and **(Five) 5** Unsecured Creditors, Applicant No.2/ Resulting Company No.1 has **(Two) 2** Equity Shareholder, **NIL** Secured and **2** Unsecured Creditor and Applicant No.3/ Resulting Company No.2 has **(Two) 2** Equity Shareholder and **Nil** Secured Creditors and Unsecured Creditor.

14. The counsel further submitted that this Tribunal may be pleased to give directions for dispensing the meeting of the Equity Share Holders, Secured Creditors and Unsecured Creditors of all the Applicant Companies, to consider the Scheme.

15. Heard the arguments of the Learned Counsel for the applicant companies and perused the documents annexed to the application.

16. In view of the facts stated above, the following orders are passed: -

(i) In view of the fact that all the equity shareholders of the Applicant Companies have given unconditional consent for dispensing with the

meeting of equity shareholders, by way of affidavits, to the proposed scheme of Arangement, hence the requirement of convening and holding separate meetings of equity shareholders of the all Applicant Companies are dispensed with.

(ii) Given the fact there are **NIL** secured creditor in all Applicant Companies, hence the requirement of convening and holding separate meetings of the secured creditor doesn't arise, Accordingly, meeting of secured creditor of all Applicant Companies are dispensed with.

(iii) Given the fact, there are **5** unsecured creditors in Applicant No.1/ Demerged Company and **2** unsecured creditors in Resulting Company No-1 and all of them have given their consent in form of Affidavit and **NIL** unsecured creditor in Resulting company no -2, hence the requirement of convening and holding separate meetings of the unsecured creditor of the Applicant Companies are dispensed with.

(iv) Let notices be served by the applicant companies, as per the requirement of subsection(5) of section 230 of the Companies Act,2013,alongwith copy of

Sd/-

the application and other documents including copy of the Scheme of Arrangement to the Central Government through the office of Regional Director(N.R.), ROC Kanpur, OL Allahabad, and income tax department stating PAN no of the applicant companies and having jurisdiction of the applicant companies and such other relevant sectoral regulators/ authorities, if applicable, which are likely to be affected by the proposed scheme, by sending the same by hand delivery through Special Messenger or by registered post/speed post within 7 days from date of this order for filing there representation, if any, on the petition within 30 days from date of notice.

(v) The Applicants shall file affidavit within seven days of regarding service of notice.

(vi) The Applicants are further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if any should be filed before this Tribunal within 30 days of date of receipt of such notices. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no

representation to make on the Scheme of Amalgamation. Such notices shall be set under Section 230(5) of the Companies Act,2013 in specified form **(CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.**

(vii) If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities have no representation/ objection on the proposed Scheme of Arrangement.

(viii) The Company Application bearing No. **440/ALD/2019** is disposed of accordingly.

(ix) Certified copy of the order may be issued, if applied for, upon compliance with all the requisite formalities.

Dated: 18.12.2019

JUSTICE RAJESH DAYAL KHARE
MEMBER JUDICIAL